

KALE REALTY

ONE BAD BET BECAME A SCARY FHA HEADLINE.

None of it says your buyer's loan is at risk.

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**"THAT IS THE
PRODUCT OF ONE
COMPANY'S OWN
MISJUDGED BET ON
RATES, NOT ANY
INDICATION OF
POORLY
UNDERWRITTEN FHA
MORTGAGES."**

Bob Broeksmit, president of the Mortgage Bankers Association, on the WSJ story tying one lender's loss to FHA loans broadly.

ONE HEADLINE. TWO UNRELATED STORIES, STITCHED TOGETHER.

The Wall Street Journal's "UWM Is a Government Mortgage Canary" tied United Wholesale Mortgage's \$603 million loss on a rate hedge to broader fears about FHA-insured lending. The Mortgage Bankers Association's own president, Bob Broeksmit, published a rebuttal calling it what it was: "conflating a single firm's hedging misstep with FHA's program-wide performance makes for an eye-catching headline," one that "neither informs readers about the health of the FHA program nor the strength of the independent mortgage bank sector." Your buyer's FHA pre-approval didn't get riskier this week. The headline just made it sound that way.

WHAT TO DO THIS MONTH IF YOU HAVE FHA BUYERS ACTIVE:

1 Send a one-line note before they see the headline.

"Saw the FHA story going around. It's about one lender's hedging bet, not your loan. Nothing about your approval changed."

2 Have the lender confirm it in writing, not you.

A two-line note from their loan officer carries more weight than reassurance from their agent alone.

3 Bring it up yourself at the next touchpoint.

A buyer who reads the headline before you mention it starts wondering what else you're not telling them.

THE TAKEAWAY

THE STORY WAS NEVER ABOUT YOUR BUYER'S LOAN.

It was about whether you said something before they had to ask.